

QUORUM PROPERTY GROUP S.A

MINUTES OF A MEETING OF THE BOARD OF DIRECTORS

QUORUM PROPERTY GROUP S.A. Board of Directors Meeting Minutes

Date: 12 February 2025

Location: Luxembourg (Registered Office)

Meeting Type: Scheduled Board Meeting

1. Attendance

Present:

- Dr. Heinrich K. Brandt (Chairman)
- Catherine Duval
- Erik van der Berg
- Marco Lombardi
- Anna Lindqvist

In Attendance:

- Investment Director
- Asset Management Team (Northgate)
- External Advisor (Valuation & Strategy)

2. Agenda

1. Review of Northgate Asset Performance
2. Review of Independent Valuation (31 December 2024)
3. Lease Expiry Profile and Income Risk
4. Exit Strategy and Timing
5. Financing Position and Optionality

3. Northgate Asset Overview

Management presented an update on the Northgate Retail Park (Manchester), confirming:

- Gross Lettable Area: approx. 250,000 sq ft
- Passing Rent: approx. £10.6 million
- Asset continues to perform in line with operational expectations

4. Valuation Review

The Board reviewed the independent valuation prepared as of **31 December 2024**, confirming:

- Market Value: **£215.2 million**
- Valuation methodology and assumptions consistent with prior periods
- No material valuation adjustments outside expected market movements

The Board noted that valuation remains supported by income profile but is sensitive to forward lease events.

5. Lease Profile and Income Risk

The Asset Management team presented the updated lease expiry analysis based on the **December 2024 rent roll**.

Key points noted:

- Concentration of lease expiries in **2027**, representing a significant portion of contracted income
- Presence of tenant break options, including key occupiers, within the same timeframe

- Potential exposure to income disruption if not proactively managed

The Board acknowledged that:

The lease structure introduces a **time-concentrated risk window** aligned with the projected exit horizon.

6. Exit Strategy and Timing

The Board discussed the investment strategy in light of the valuation and lease profile.

Key conclusions:

- The asset remains positioned for **disposal within the original investment horizon (Year 7)**
- **Target exit window confirmed as H1 2027**, prior to peak lease expiry concentration
- Strategy aims to:
 - maximise value prior to income volatility
 - mitigate exposure to lease rollover risk

The Board emphasized that:

Exit timing is a critical variable and must remain aligned with lease risk dynamics.

7. Financing Position

The Board reviewed the current financing structure:

- Senior Loan: **£48.9 million (Barclays)**
- Maturity: **January 2027**
- Structure: interest-only, bullet repayment

The Board noted:

- No immediate refinancing pressure
- Optionality exists to refinance or extend holding period if required

However, it was agreed that:

Financing flexibility should not drive deviation from the primary exit strategy.



8. Conclusions and Actions

The Board:

- Confirmed valuation and asset positioning
- Acknowledged lease-related income concentration risk
- Reaffirmed **H1 2027 exit strategy**
- Requested continued monitoring of:
 - lease renewal pipeline
 - tenant break risk
 - market conditions

Management is to provide quarterly updates on leasing progress and exit readiness.

9. Closing

There being no further business, the meeting was adjourned.

Signed:

Dr. Heinrich K. Brandt
Chairman of the Board